

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

WCG GROUP, LLC DBA AITOH CO., *Claimant*

v.

CHRIS PHILLIPS AND PAUL KNOTT, *Respondents*.

DOCKET NO. 1999(F)

Served: May 17, 2024

ORDER OF: Linda S. Harris Crovella, *Administrative Law Judge*.

ORDER TO PROVIDE ADDITIONAL DOCUMENTS AND INFORMATION

Claimant WCG Group, LLC d/b/a Aitoh Co. (“Aitoh”), initiated this proceeding on November 28, 2023, by filing an informal complaint against two individual Respondents, Chris Phillips (“Respondent Phillips”), and Paul Knott “Respondent Knott”), who it alleges work for InXpress; Respondent Phillips as an owner of InXpress Hudson Valley NY, and Respondent Knott as CEO of InXpress Americas. On December 26, 2023, Respondent Paul Knott, filed an answer to the informal complaint denying the allegations of the complaint and alleging various affirmative defenses, as well as a separate affidavit of non-consent to the informal adjudication of the claims in accordance with Subpart S 46 C.F.R. § 502.301. On February 7, 2024, the claim was reassigned to the undersigned Administrative Law Judge for adjudication under the procedures at 46 C.F.R. Subpart T. 46 C.F.R. § 502.311.

The complaint alleges that InXpress NY was involved in shipping paper products that Aitoh was importing from India, and the container in which its goods were carried was lost by the ocean carrier during a storm. Aitoh filed the instant claim because it was unable to get information regarding the status of its insurance claim, and it alleges that this failure of InXpress violates §§ 41102(c), 41104(a)(4)(E), 41104(a)(12), 41103(b)(2), and 41108(c) of the Shipping Act. Complaint at 2.

Pursuant to Commission Rule 502.314, which authorizes the administrative law judge in a Subpart T proceeding to “require the submission of additional affidavits, documents, or memoranda from complainant or respondent,” the parties are ordered to provide documents and information as described below.

For each question asked or document requested, the party responding should indicate the number that corresponds to the question answered or the document produced. The party should first repeat the question, and then provide the response. Claimant Aitoh should label its responses “CA” followed by the number of the question to which it is responding. Respondent

Phillips should label his responses “RP” followed by the number of the question to which he is responding. Similarly, Respondent Knott should label his responses “RK” followed by the number of the question to which he is responding. Both respondents should submit their own responses to each question. Finally, the parties are reminded that the answers to questions must be provided by an individual with personal knowledge of the matters described and verified in accordance with 46 C.F.R. § 502.6(c).

To Be Provided by Claimant Aitoh

1. (a) Explain whether you engaged Respondents Chris Phillips and Paul Knott in their personal capacity to ship your cargo or whether instead you engaged the company, InXpress.

(b) What roles did Chris Phillips, Paul Knott, InXpress NY and, InXpress Americas play in the transportation of your goods? Provide evidence, if any, to support your response.

2. If you engaged InXpress rather than Respondents in their personal capacity, explain why you believe Respondents should be personally liable for your losses, rather than InXpress. Provide evidence supporting your response if available.

3. What is the total amount you are seeking as reparations and why? Provide evidence supporting how you arrived at the amount of damages you seek.

4. Provide a copy of the house bill of lading, master bill of lading, dock receipt and other shipping documents for the transportation of the goods, if in your possession.

5. Provide documents reflecting your agreement with Respondents for the transportation of your cargo, including emails, if available.

6. Provide a copy of the response you state that you received when you filed a claim for cargo loss.

To Be Provided by Respondent Phillips and by Respondent Knott

1. Provide documents reflecting your agreement with Claimant for the transportation at issue, including emails, if available.¹ Please provide the documents regardless of whether the agreement was made with InXpress or with you as an individual.

2. (a) What roles did InXpress Americas, InXpress NY, Ocean Network Express (“ONE”) and Ex-Freight play in the transportation of the cargo at issue?

(b) Explain the corporate and business relationship between InXpress Americas and InXpress NY, including how each entity was involved in the effort to file a claim after the ocean-carrier’s alleged loss of Aitoh’s goods.

¹ Do not forward individual emails; rather, put them in a document in chronological order.

3. Explain why you believe ONE and Ex-Freight are indispensable to this proceeding. Provide evidence, including documents, supporting your answer.
4. Provide the house bills of lading, master bills of lading, dock receipt, and other shipping documents for the transportation at issue.
5. Did InXpress Americas or InXpress NY file a cargo loss or damage claim for Claimant's cargo? If yes, what was the outcome? Provide evidence supporting your answer. If no, why not? Provide any documents that you as an individual or InXpress as a business filed with any entity regarding the Aitoh cargo loss.

The parties are **ORDERED** to provide the above responses, information, and documents as described above on or before **June 14, 2024**. Each party may, at the same time, file any additional evidence or argument in support of its claims or defenses, but any such evidence or argument must be labeled as supplemental evidence and if a document, explain what claim or defense it supports. On or before **June 28, 2024**, each party may also file a reply to the other party's response.

Respondent Phillips is again reminded that failure to respond to this or any subsequent order may result in a default judgment against him.

When submitting the responses and evidence ordered above, the parties must include the caption of the case (WCG Group, LLC d/b/a Aitoh Co., Claimant v. Chris Phillips and Paul Knott, Respondents) including the docket number (Docket No. 1995(F)), on a cover page, followed by the numbered responses or documents, preferably in one pdf document. The responses should be electronically submitted to secretary@fmc.gov with a courtesy copy to judges@fmc.gov. The parties are reminded that they must provide a copy of their responses to each other.



Linda S. Harris Crovella
Administrative Law Judge